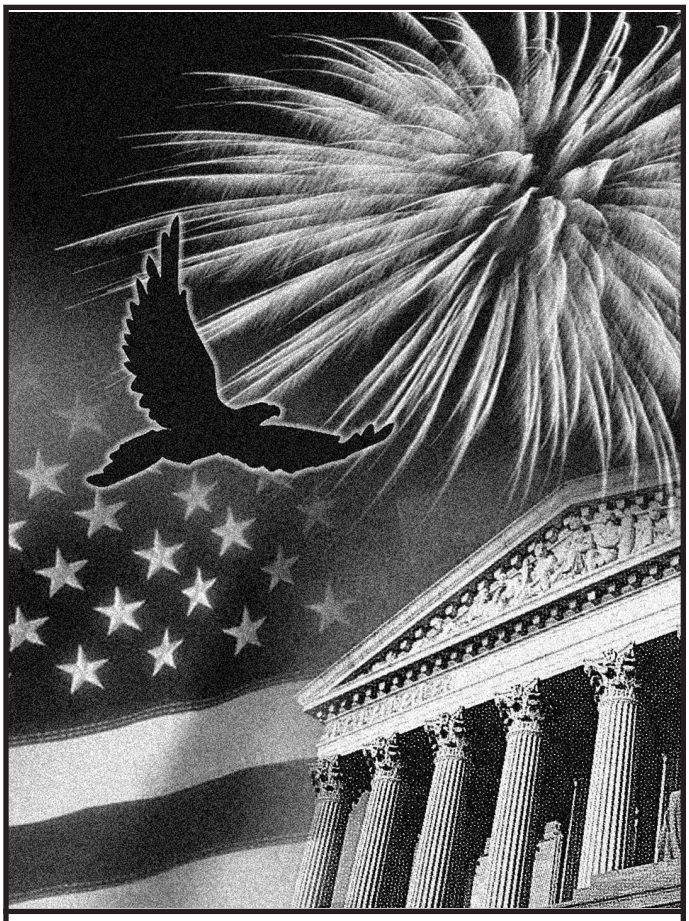
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Household Employer's Tax Guide

For use in **2018**



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Future Developments

For the latest information about developments related to Pub. 926, such as legislation enacted after it was published, go to *IRS.gov/Pub926*.

What's New

2018 federal income tax withholding. Tax legislation enacted on December 22, 2017, (P.L. 115-97) changed the 2018 individual income tax rates. For information about how P.L. 115-97 affects 2018 federal income tax withholding and Form W-4, Employee's Withholding Allowance Certificate, see *What's New* in Pub. 15. See Pub. 505 for information about paying your taxes through federal income tax withholding or by making estimated tax payments. The IRS anticipates that Pub. 505 will be available by the end of February 2018.

Social security and Medicare tax for 2018. The social security tax rate is 6.2% each for the employee and employer, unchanged from 2017. The social security wage base limit is $128,400.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2017. There is no wage base limit for Medicare tax. Social security and Medicare

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		THEN you need to ...
A–	Pay cash wages of $2,100 or more in 2018 to any one household employee. Don't count wages you pay to— • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2018 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%[1]. (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B–	Pay total cash wages of $1,000 or more in any calendar quarter of 2017 or 2018 to household employees. Don't count wages you pay to— • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee aren't taxed. • You also may owe state unemployment tax.
[1] In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.		
Note. If neither A nor B above applies, you don't need to pay any federal employment taxes. But you may still need to pay state employment taxes.		

Don't submit it to the IRS, the USCIS, or any other government or other entity. The form must be kept available for review upon notice by an authorized U.S. Government official.

For more information on completing Form I-9, see M-274, Handbook for Employers, published by USCIS.

You can get Form I-9 and the USCIS Handbook for Employers by visiting the USCIS website at *USCIS.gov/I-9-Central*.

You can also call the USCIS at 1-800-870-3676 to order the Handbook for Employers. If you have questions about the employment eligibility verification process or other immigration-related employment matters, contact the USCIS Office of Business Liaison at 1-800-357-2099.

Do You Need To Pay Employment Taxes?

If you have a household employee, you may need to withhold and pay social security and Medicare taxes, pay federal unemployment tax, or both. To find out, read Table 1.

You don't need to withhold federal income tax from your household employee's wages. But if your employee asks you to withhold it, you can. See *Do You Need To Withhold Federal Income Tax*, later.

If you need to pay social security, Medicare, or federal unemployment tax or choose to withhold federal income tax, read Table 2 for an overview of what you may need to do.

TIP *If you don't need to pay social security, Medicare, or federal unemployment tax and don't choose to withhold federal income tax, read State employment taxes next. The rest of this publication doesn't apply to you.*

State employment taxes. You should contact your state unemployment tax agency to find out whether you need to pay state unemployment tax for your household employee. For a list of state unemployment tax agencies, visit the U.S. Department of Labor's website at *oui.doleta.gov/unemploy/agencies.asp*. You should also determine if you need to pay or collect other state employment taxes or carry workers' compensation insurance.

Consequences of not paying employment taxes. If you have a household employee and you're required to withhold and pay employment taxes and you don't, you will generally be liable for the employment taxes that you should've withheld and paid. See section 2 in Pub. 15 for additional information. Interest and penalties may also be charged. You may have to pay a penalty if you don't give Forms W-2 to your employees or file Copy A of the forms with the SSA by the due dates. You may also have to pay a penalty if you don't show your employee's SSN on Form W-2 or don't provide correct information on the form.

Social Security and Medicare Taxes

The social security tax pays for old-age, survivors, and disability benefits for workers and their families. The Medicare tax pays for hospital insurance.

Both you and your household employee may owe social security and Medicare taxes. Your share is 7.65%